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TAKING STOCK Civil aviation minister K. Ram Mohan Naidu during a meeting with IndiGo CEO Pieter Elbers, Dec. 9

"ALL AIRLINES SOUGHT VARIATIONS. EXEMPTIONS WERE GRANTED.... THIS WAS DUE TO *GADBADI* (BUNGLING) IN INDIGO'S INTERNAL OPERATIONS, CREW ROSTERING SYSTEM"

—K. RAM MOHAN NAIDU, CIVIL AVIATION MINISTER

economies of scale, required everything to run perfectly: high load factors, long duty days, dense schedules and minimal slack. When the new fatigue rules clipped the total number of available productive hours per pilot, the airline had no margin to absorb the shock, triggering cascading cancellations, a collapse in on-time performance, and a rapid erosion of market value. The very traits that had powered IndiGo's rise, like low CASK, high utilisation, ultra-lean staffing, now revealed their limits in a market where a single rule change could bring the country's largest airline to a standstill.

Financial stress had already begun creeping in. A reading of its published financial figures reveals that the business model has been facing financial pressures of late. IndiGo has a high salary bill: its latest annual report, tabulating the previous financial year, lists 41,049 employees, including 5,456 pilots. Net profit had plunged to Rs 2,176.3 crore in the first quarter of this financial year, compared to Rs 3,067.5 crore in the last quarter of the previous financial year. In the second quarter of this financial year, the carrier registered a loss of Rs 2,582.1 crore. Meanwhile, its salary bill had increased from Rs 1,947.2 crore in the fourth quarter of the previous financial year to Rs 2,044.8 crore in the second quarter of this financial year. In other words, the razor-thin margins had less leeway. No wonder, for several months prior to the disruptions, IndiGo appeared to be going slow on hiring new pilots (ostensibly due to a delay in deliveries of new aircraft). Figures presented in the Lok Sabha matched what can be inferred from the documents: the airlines' pilot strength had actually dropped from 5,463 this March to 5,085 in December before the crisis unfolded, a reduction of 7 per cent. It reportedly also reduced the yearly leave quota of pilots. "They assumed they could maintain cost structure by simply tightening existing schedules and relying on pilots' flexibility," says Pragya Priyadarshini of Primus Partners, a management consultancy firm. "That assumption backfired."

Inside aviation circles, a blunt hypothesis circulates: IndiGo believed the regulator would blink. To a degree, it did—granting temporary relief till February 10. But the reprieve came too late. IndiGo's board, stacked with former regulators, administrators and aviation heavyweights, brings immense clout. It may also have bred complacency. As one company official admitted privately, "*Galti to hui hai* (there has been an error somewhere)."

On December 10, IndiGo chairman Vikram Mehta issued a video statement apologising to everyone affected. "The disruptions of last week did not happen because of any deliberate action," he said. "They happened because a combination of internal and unanticipated external events, including minor technical glitches, scheduled changes linked to the start of the winter, adverse weather conditions, increased congestion in the aviation system and implementation of an operation under the updated crew rostering rules." The board, he added, will engage "external technical experts to work with the management" and help determine the root causes.

According to aviation consultant Jitender Bhargava: "This is a result of overconfidence and complacency. Schedule integrity is of paramount importance in the aviation industry. If IndiGo could not muster the additional number of pilots in a short span of time, they should have truncated the flights."

THE REFORM IMPERATIVE

The civil aviation ministry is now on an overdrive to show they have a handle on the crisis. It is clear that officials have a hard time believing the airline's data, hence the posting of its own people at IndiGo offices. "Every 15 days, they'll have to show us what extra hiring they are doing and how many people they are arranging," DGCA director-general Faiz Ahmed Kidwai told INDIA TODAY. If the math doesn't add up, more flights will be grounded. "We will review